

City of Palomar Vista, California

General Fund budget and reserves for a city of 84,000

Fiscal years covered: FY2023, FY2024, FY2025

Industry: Local government

Role fit: Budget analysis, Government finance

Fiscal years end June 30 (FY2025 = July 1, 2024 to June 30, 2025).

Governmental funds use modified accrual and report no cash flow statement.

Fictional company. All figures are illustrative and were built for this portfolio.

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Hardcoded input

Formula, same sheet

Formula, pulls from another sheet

City of Palomar Vista, California

Assumptions

(\$ in thousands)

	FY2023	FY2024	FY2025
Property taxes	38,400	40,100	41,900
Sales and use tax	22,600	23,100	22,700
Utility users tax	6,100	6,300	6,450
Transient occupancy tax	4,200	4,650	4,900
Franchise fees	3,300	3,400	3,450
Licenses and permits	2,900	3,050	2,800
Charges for services	5,600	5,900	6,150
Fines and forfeitures	900	950	920
Investment earnings	450	1,650	2,100
Intergovernmental	2,200	2,100	2,050
Other revenue	700	650	700
General government	9,600	10,100	10,500
Police	31,500	33,400	35,600
Fire	22,100	23,500	24,900
Public works	9,800	10,200	10,700
Parks and recreation	6,900	7,200	7,600
Community development	4,300	4,500	4,700
Nondepartmental	3,200	3,500	3,900
Transfers in	1,100	1,100	1,150
Transfers out	(2,500)	(3,000)	(2,800)
Fund balance, July 1, 2022	26,800		
Receivables, % of total revenues	9.0%		
Due from other funds	400	450	500
Prepaid items	300	320	350
Accounts payable, % of expenditures	5.0%		
Accrued payroll, % of expenditures	3.0%		
Unearned revenue	600	650	700
Deposits	300	300	300

Deferred inflows of resources (unavailable revenue)	800	850	900
Committed (economic uncertainty reserve)	14,000	13,500	12,000
Assigned (capital replacement)	2,500	2,000	1,500
Reserve ratio policy minimum	17.0%		

City of Palomar Vista, California

Statement of Revenues, Expenditures and Changes in Fund Balance, General Fund

(\$ in thousands) For the years ended June 30

	FY2023	FY2024	FY2025
Revenues			
Property taxes	38,400	40,100	41,900
Sales and use tax	22,600	23,100	22,700
Utility users tax	6,100	6,300	6,450
Transient occupancy tax	4,200	4,650	4,900
Franchise fees	3,300	3,400	3,450
Licenses and permits	2,900	3,050	2,800
Charges for services	5,600	5,900	6,150
Fines and forfeitures	900	950	920
Investment earnings	450	1,650	2,100
Intergovernmental	2,200	2,100	2,050
Other revenue	700	650	700
Total revenues	87,350	91,850	94,120
Expenditures			
General government	9,600	10,100	10,500
Police	31,500	33,400	35,600
Fire	22,100	23,500	24,900
Public works	9,800	10,200	10,700
Parks and recreation	6,900	7,200	7,600
Community development	4,300	4,500	4,700
Nondepartmental	3,200	3,500	3,900
Total expenditures	87,400	92,400	97,900
Excess (deficiency) of revenues over expenditures	(50)	(550)	(3,780)
Other financing sources (uses)			
Transfers in	1,100	1,100	1,150
Transfers out	(2,500)	(3,000)	(2,800)
Total other financing sources (uses)	(1,400)	(1,900)	(1,650)
Net change in fund balance	(1,450)	(2,450)	(5,430)

Fund balance, beginning	26,800	25,350	22,900
Fund balance, ending	25,350	22,900	17,470

City of Palomar Vista, California

Balance Sheet, General Fund

(\$ in thousands) As of June 30

	FY2023	FY2024	FY2025
Assets			
Cash and investments	25,481	23,056	17,881
Receivables	7,862	8,267	8,471
Due from other funds	400	450	500
Prepaid items	300	320	350
Total assets	34,042	32,092	27,202
Liabilities			
Accounts payable	4,370	4,620	4,895
Accrued payroll	2,622	2,772	2,937
Unearned revenue	600	650	700
Deposits	300	300	300
Total liabilities	7,892	8,342	8,832
Deferred inflows of resources			
Deferred inflows of resources (unavailable revenue)	800	850	900
Fund balance			
Nonspendable	300	320	350
Committed	14,000	13,500	12,000
Assigned	2,500	2,000	1,500
Unassigned	8,550	7,080	3,620
Total fund balance	25,350	22,900	17,470
Total liabilities, deferred inflows and fund balance	34,042	32,092	27,202
Reserve ratio (committed plus unassigned / expenditures)	25.8%	22.3%	16.0%
Reserve policy minimum	17.0%	17.0%	17.0%
Reserve policy minimum, dollars (17% of expenditures)	14,858	15,708	16,643

City of Palomar Vista, California

Budgetary Comparison, General Fund, FY2025

(\$ in thousands)

	Adopted	Final	Actual	Variance	Variance %
Property taxes	41,500	41,500	41,900	400	1.0%
Sales and use tax	23,900	23,900	22,700	(1,200)	-5.0%
Utility users tax	6,400	6,400	6,450	50	0.8%
Transient occupancy tax	4,800	4,800	4,900	100	2.1%
Franchise fees	3,450	3,450	3,450	-	0.0%
Licenses and permits	3,100	3,100	2,800	(300)	-9.7%
Charges for services	6,000	6,000	6,150	150	2.5%
Fines and forfeitures	950	950	920	(30)	-3.2%
Investment earnings	1,200	1,200	2,100	900	75.0%
Intergovernmental	2,100	2,100	2,050	(50)	-2.4%
Other revenue	650	650	700	50	7.7%
Total revenues	94,050	94,050	94,120	70	0.1%
General government	10,800	10,800	10,500	300	2.8%
Police	33,500	34,200	35,600	(1,400)	-4.1%
Fire	24,600	24,600	24,900	(300)	-1.2%
Public works	11,400	11,400	10,700	700	6.1%
Parks and recreation	7,700	7,700	7,600	100	1.3%
Community development	5,000	5,000	4,700	300	6.0%
Nondepartmental	3,900	3,900	3,900	-	0.0%
Total expenditures	96,900	97,600	97,900	(300)	-0.3%
Transfers in	1,150	1,150	1,150	-	0.0%
Transfers out	(2,800)	(2,800)	(2,800)	-	0.0%
Net change in fund balance	(4,500)	(5,200)	(5,430)	(230)	-4.4%

City of Palomar Vista, California

Five year forecast with no corrective action

(\$ in thousands)

	FY2026	FY2027	FY2028	FY2029	FY2030
Property taxes	43,576	45,319	47,132	49,017	50,978
Sales and use tax	23,041	23,386	23,737	24,093	24,454
Utility users tax	6,579	6,711	6,845	6,982	7,121
Transient occupancy tax	5,047	5,198	5,354	5,515	5,680
Franchise fees	3,519	3,589	3,661	3,734	3,809
Licenses and permits	2,856	2,913	2,971	3,031	3,091
Charges for services	6,335	6,525	6,720	6,922	7,130
Fines and forfeitures	920	920	920	920	920
Investment earnings	1,900	1,700	1,600	1,600	1,600
Intergovernmental	2,071	2,091	2,112	2,133	2,155
Other revenue	714	728	743	758	773
Total revenues	96,557	99,081	101,796	104,705	107,711
General government	10,847	11,204	11,574	11,956	12,351
Police	36,775	37,988	39,242	40,537	41,875
Fire	25,722	26,571	27,447	28,353	29,289
Public works	11,053	11,418	11,795	12,184	12,586
Parks and recreation	7,851	8,110	8,378	8,654	8,940
Community development	4,855	5,015	5,181	5,352	5,528
Nondepartmental	4,212	4,549	4,913	5,306	5,730
Total expenditures	101,314	104,855	108,529	112,342	116,298
Operating result	(4,758)	(5,775)	(6,734)	(7,637)	(8,587)
Net transfers	(1,650)	(1,650)	(1,650)	(1,650)	(1,650)
Net change in fund balance	(6,408)	(7,425)	(8,384)	(9,287)	(10,237)
Ending fund balance	11,063	3,638	(4,746)	(14,033)	(24,270)
Reserve ratio	9.1%	1.7%	-6.1%	-14.1%	-22.5%
Policy minimum (17% of expenditures)	17,223	17,825	18,450	19,098	19,771

City of Palomar Vista, California
Options to close the gap, FY2026

(\$ in thousands)

	Amount
Hold 12 vacant civilian positions	1,600
Update fees to recover full cost	900
Raise transient occupancy tax from 10% to 12% (needs voter approval)	980
Defer capital transfer for two years	1,000
Prepay pension payments early for the discount	150
Total, all options	4,630
FY2026 forecast gap (operating result + net transfers)	(6,408)
Remaining gap after options	(1,778)

Checks

Overall status	ALL OK	
Check	Difference	Status
Assets equal liabilities, deferred inflows and fund balance	-	OK
Assets equal liabilities, deferred inflows and fund balance	-	OK
Assets equal liabilities, deferred inflows and fund balance	-	OK
Balance sheet fund balance equals Fund Activity ending f	-	OK
Balance sheet fund balance equals Fund Activity ending f	-	OK
Balance sheet fund balance equals Fund Activity ending f	-	OK
Fund balance beginning equals prior year ending, FY2023	-	OK
Fund balance beginning equals prior year ending, FY2024	-	OK
Fund balance beginning equals prior year ending, FY2025	-	OK
Total revenues equal their components, FY2023	-	OK
Total revenues equal their components, FY2024	-	OK
Total revenues equal their components, FY2025	-	OK
Total expenditures equal their components, FY2023	-	OK
Total expenditures equal their components, FY2024	-	OK
Total expenditures equal their components, FY2025	-	OK
Cash and investments is positive, FY2023	-	OK
Cash and investments is positive, FY2024	-	OK
Cash and investments is positive, FY2025	-	OK